

was assumed further that these purchases were sold out at the end of holding periods ranging from one to five years. The results of these investments were then compared with the results shown in either the DJIA as a whole or in the highest multiplier (i.e., the most popular) group.

The detailed material we have available covers the results of annual purchases assumed in each of the past 53 years.<sup>5</sup> In the early period, 1917–1933, this approach proved unprofitable. But since 1933 the method has shown highly successful results. In 34 tests made by Drexel & Company (now Drexel Firestone)<sup>\*</sup> of one-year holding—from 1937 through 1969—the cheap stocks did definitely worse than the DJIA in only three instances; the results were about the same in six cases; and the cheap stocks clearly outperformed the average in 25 years. The consistently better performance of the low-multiplier stocks is shown (Table 7-2) by the average results for successive five-year periods, when compared with those of the DJIA and of the ten high-multipliers.

**TABLE 7-2 Average Annual Percentage Gain or Loss on Test Issues, 1937–1969**

| <i>Period</i>       | <i>10 Low-Multiplier Issues</i> | <i>10 High-Multiplier Issues</i> | <i>30 DJIA Stocks</i> |
|---------------------|---------------------------------|----------------------------------|-----------------------|
| 1937–1942           | – 2.2                           | –10.0                            | – 6.3                 |
| 1943–1947           | 17.3                            | 8.3                              | 14.9                  |
| 1948–1952           | 16.4                            | 4.6                              | 9.9                   |
| 1953–1957           | 20.9                            | 10.0                             | 13.7                  |
| 1958–1962           | 10.2                            | – 3.3                            | 3.6                   |
| 1963–1969 (8 years) | 8.0                             | 4.6                              | 4.0                   |

The Drexel computation shows further that an original investment of \$10,000 made in the low-multiplier issues in 1936, and switched each year in accordance with the principle, would have grown to \$66,900 by 1962. The same operations in high-multiplier stocks would have ended with a value of only \$25,300; while an operation in all thirty stocks would have increased the original fund to \$44,000.<sup>†</sup>